

BINGE REMORSE

The companies Byju's has acquired in the past few years, and the amounts it paid for them

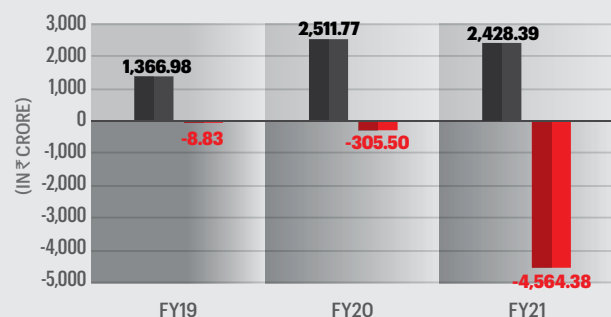
Company	Purchase price in \$ million
Aakash	950
Great Learning	600
Epic	500
WhiteHat Jr*	300
Tynker	200
Scholr	180
Toppr	150
Gradeup	50
GeoGebra	24

*ACQUIRED IN 2020; REST OF THE DEALS WERE MADE IN 2021 **SOURCE** COMPANY ANNOUNCEMENTS, BT RESEARCH

- BYJU'S SHELLED OUT CLOSE TO A BILLION DOLLARS TO ACQUIRE BRICK-AND-MORTAR TUITION CHAIN AAKASH EDUCATIONAL SERVICES
- THE ACQUISITIONS INCLUDED GREAT LEARNING IN SINGAPORE, AS WELL AS OSMO AND EPIC IN THE US
- IN 2020-21, BYJU'S SPLURGED \$3 BILLION ON ACQUISITIONS; AMONG THEM, ONLY AAKASH MAKES MONEY

IN THE RED

While losses for Byju's ballooned in FY21, it hasn't filed its financials for FY22 and FY23



● CONSOLIDATED REVENUES ● PAT
SOURCE PRIVATECIRCLE RESEARCH

- IN FY21, AMID THE EDTECH BOOM DRIVEN BY THE PANDEMIC, BYJU'S SAW A 3 PER CENT REVENUE DECLINE AND A 15-FOLD SURGE IN LOSSES
- BYJU'S HAS NOT FILED ITS AUDITED FINANCIAL REPORTS FOR FY22 AND FY23
- RAVEENDRAN HAS ASSURED SHAREHOLDERS OF COMPLETING THE LONG-OVERDUE AUDIT FOR FY22 BY SEPTEMBER AND FY23 BY DECEMBER

The company has started making changes, though its current board, with only family members and no independent directors, might deter potential investors. Some structure has been put in place. Now, operations are managed by Mrinal Mohit (India CEO) and Arjun Mohan (CEO of international business). Mohit and Mohan report to Raveendran. Anil Goel (President, Technology, and Group CTO) and Ajay Goel (Group CFO) also report to Raveendran, who looks after finance, technology and products at a group level. The company is currently undertaking a business and vertical restructuring, as a part of which its Chief Business Officer Prathyusha Agarwal and two other senior executives are leaving the organisation.

Meanwhile, on Aakash, Sonam Chandwani, Managing Partner, KS Legal & Associates, feels that the proposed share swap agreement following the buyout is a contractual dilemma and a test of corporate ethics and partnership. "Also, the conflict with the TLB lenders in the New York Supreme Court and the acceleration of a substantial \$1.2-billion loan reveals underlying tensions in Byju's financial management and challenges to its credit reputation. The failure to file timely financial statements, coupled with high-profile acquisitions without a CFO, calls into question governance standards and fiduciary oversight," she says.

In a recent interaction with potential investors, Raveendran said he was determined to rebuild Byju's and "that he would be around for decades". Even his worst critics will concede that he is perhaps the only one who can do the job, simply because no one else can grasp the complex business model or the system. "He is out there talking to investors and listening a lot more. Nobody can work as hard as he does," says a person privy to the discussions. Meanwhile, the start-up ecosystem can take lessons. (See box *Learnings from L'affaire Byju's*.)

If Byju's files the financial statements and fixes the TLB issue, it will have done two important things. But Raveendran will need to do much more than that—not just for his reputation or his company's but for a sector and an ecosystem that needs a liberal dose of investor confidence. Rarely has the biggest player in a segment failed, and Raveendran can keep that record intact. Is he listening? **BT**

@binu_t_paul, @bhavyakaushal2,
@krishnagopalan